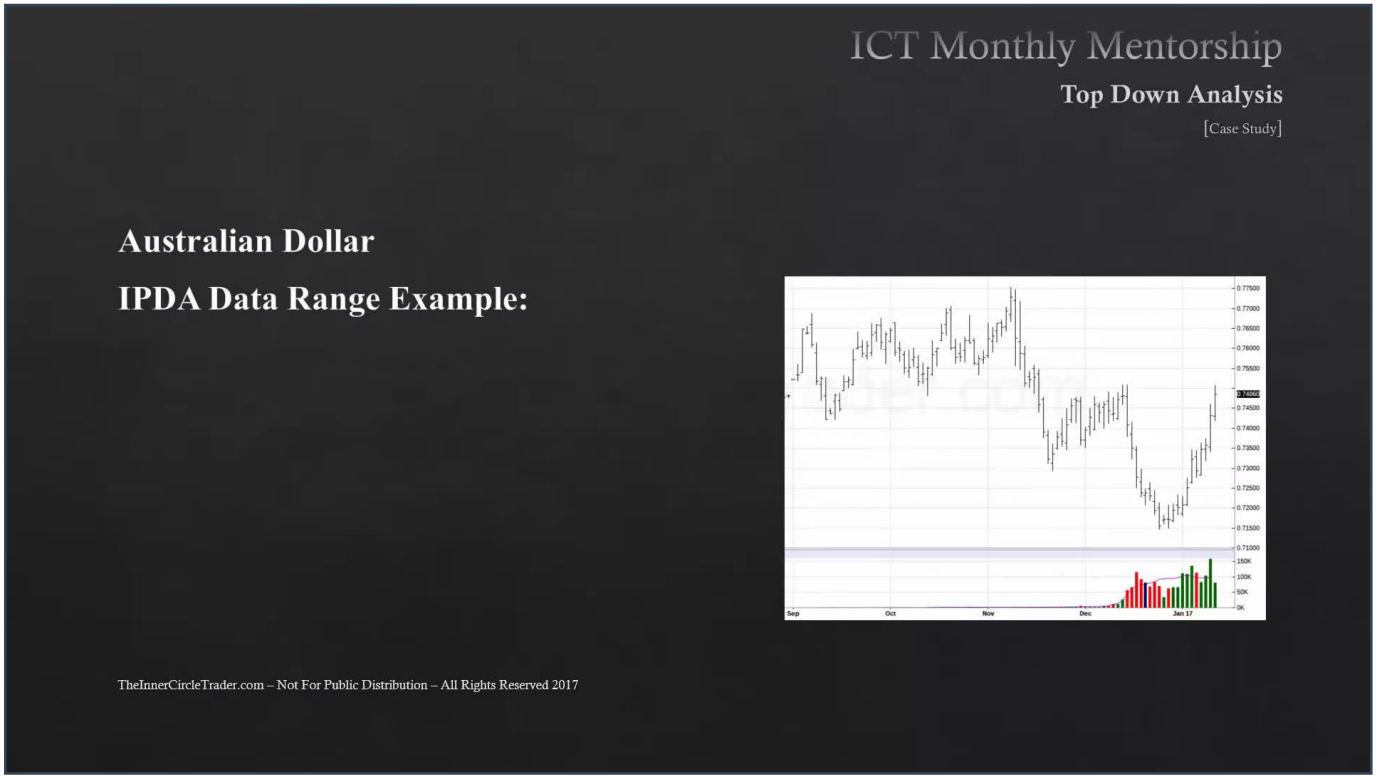
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 05 - USING IPDA DATA RANGES



All right guys, we're going to be looking at an IPDA data range example and we'll be focusing on the Australian dollar. We've had a little bit of a run-up on Aussie, and we're going to break this down in context of why I was expecting the levels that we're looking at now to be hit.

Looking at the charts we share on the forum, if you're not paying attention to those charts or if you're not saving them, it might be a good idea during this month. Not that I'm encouraging you to do this throughout the mentorship, but when we do daily reviews, I'm taking you basically to the points at which I'm drawing my attention to on my own journal - how I have reference points on my own charts.

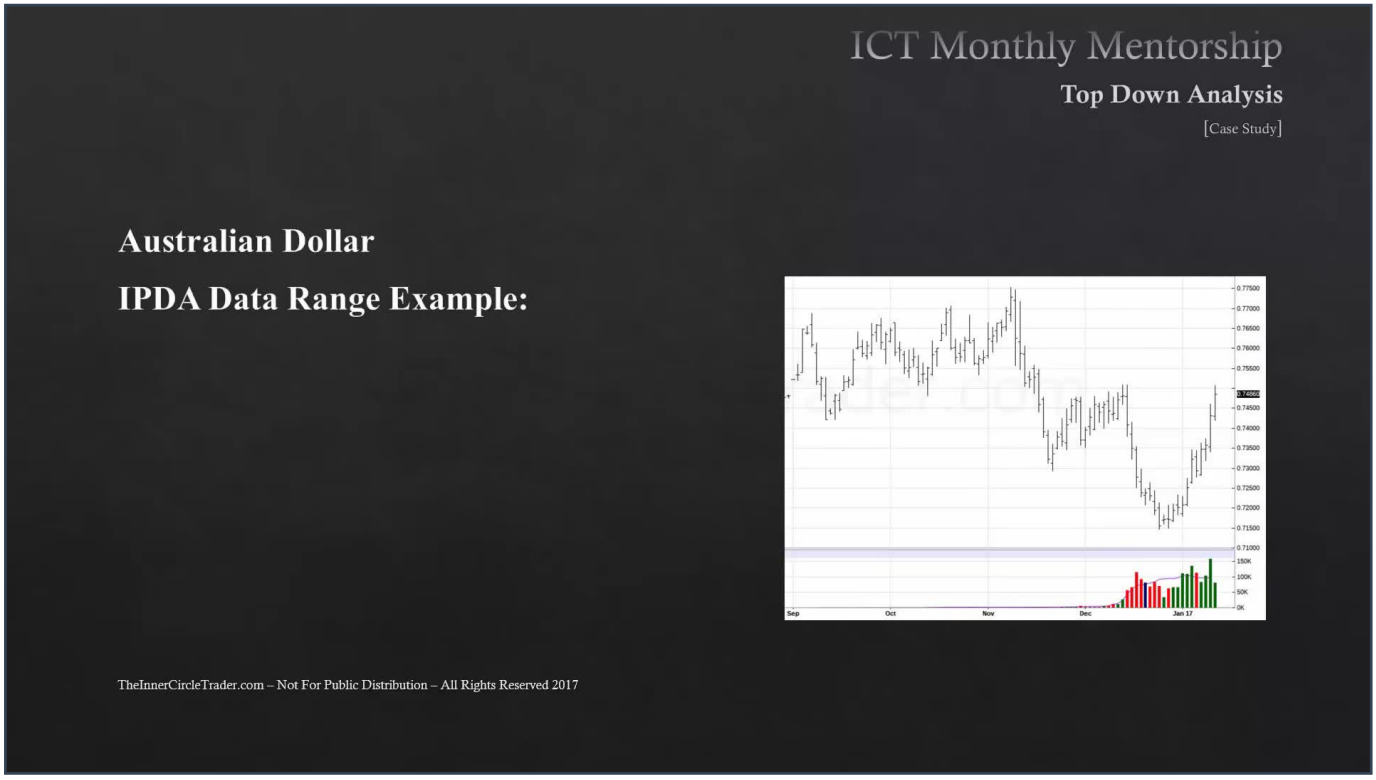
What you see me noting on those daily entries on the forum are the points at which I'm keeping focus in my own journal, and any salient points that would be in addition to those levels I will make in terms of commentary.

For the month of January, when we do these daily entries where I cover the Dollar Index, Euro-Dollar, British Pound-US Dollar, Dollar-CAD, and Aussie Dollar, when I share them with you, don't just click on them and wait for some kind of a neon sign that says 'buy here, sell here'. I want you to be focusing on what I'm drawing your attention to, and then watching how price moves to these levels.

Regardless of what type of trader you're going to be, you're going to need to be focusing on how that happens from foresight to when we can now talk about it in hindsight, because all these things are going to help you prepare yourself for when you anticipate something and then waiting throughout that process. It's not quickly learned by simply looking at a hindsight example where I can say, 'okay, this is what we said the market was going to do, this is where we thought the market was going to happen, and here it is, bang!'.

When you see it in the charts and your attention is drawn to it beforehand, there's a submission to time that's required. Unfortunately, we gloss over that many times, even as educators like myself. It's hard to communicate what's required in terms of having to wait for that thing to unfold or develop in the chart, just simply because we have a level or an order block or a target for price to get to.

When you show a hindsight example, that part of the lesson, which in my opinion is the main point you have to learn, is missed. You have to learn to wait for these things to unfold. The impatience that the market presents us an opportunity to experience is overwhelming sometimes.



While I'm many times accredited for being very patient, I am not really a patient person at all; I'm very impatient. That's the reason why I don't do long-term position trading. But I'm going to counsel you to go in every single day when we do our daily entries for the content, whether it be a video review or a teaching, or if it's something along the lines of just simply providing the charts, you want to be really copying those charts, printing them out.

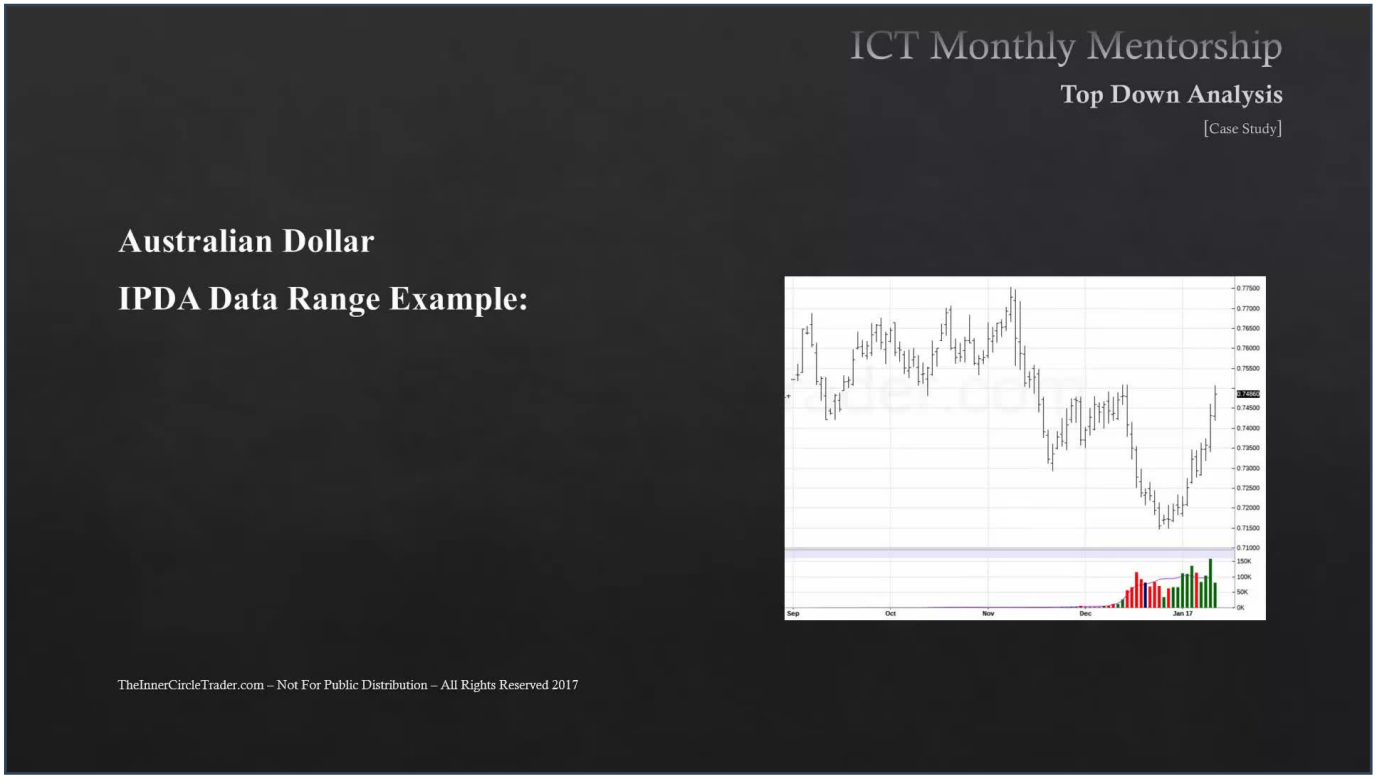
Make me hold me to the standard that if I know what I'm doing, then it should be evidenced in this. For you, for the most part, we've seen many times that occurring, but for your learning, you need to say, 'okay, this is when this was noted, this is when the observation was made, so how long did it take for this to occur?'

Now, since January is focused primarily on the daily chart, obviously each daily candle when it paints and closes for the day, it obviously takes 24 hours to do that. So yes, we can glibly say it takes 24 hours for this candle to form, and this is what it takes in terms of the setup or level being reached over this period of time. It could take three days or four days or two weeks; you need to experience that. You need to be mindful of how long those things take, especially on these higher time frame charts.

If you don't do this, and you're new or a relatively inexperienced trader, some of you that are in my group that have been trading for a long time know exactly what I'm referring to. There's a big gap in between learning something with examples in hindsight and textbook, and even being taught something in a webinar

or a workshop live where people say this is what happened in the marketplace. It's missing that element of having to endure what needs to be waited upon to come into your chart. You can't just simply say, 'okay, well, this is the outcome I'm expecting, and therefore, you know, it needs to happen on my time.' That's the part that kills traders.

It was very influential in my early days as a trader because I needed it to happen right away. When I first started trading, things were moving quick, there were fast markets. And then when I realized that it wasn't like that always, it was a very big struggling point for me. So just go in every day, gather those charts, print them out, keep a running log of them. In fact, it's probably a good idea just to print them out every day and get yourself a three-ring binder, punch some holes in it, date them, and then keep track. It's a good reference point to go back on Saturdays and Sundays on the weekend when we're not really doing anything. Go back and look at what was observed before the fact, and then how long it took for these things to develop and those levels to be reached, and what was the response after it got to those levels. Okay, so it's important you go through the mentorship with that in mind. I'm not just showing you trophies or things in passing. I'm really trying to draw your attention to something that I want you to focus on and study how long it takes for these things to come to fruition.



Okay, so let's get into the Australian dollar example with the IPDA data range. All right, so we have here a futures chart. This is the March contract, the underlying daily chart of the futures contract of the Australian dollar. And by looking at the futures contract, if we're going to be trading forex, it's really important that you know that you can get a lot of insight just by studying the underlying futures price.

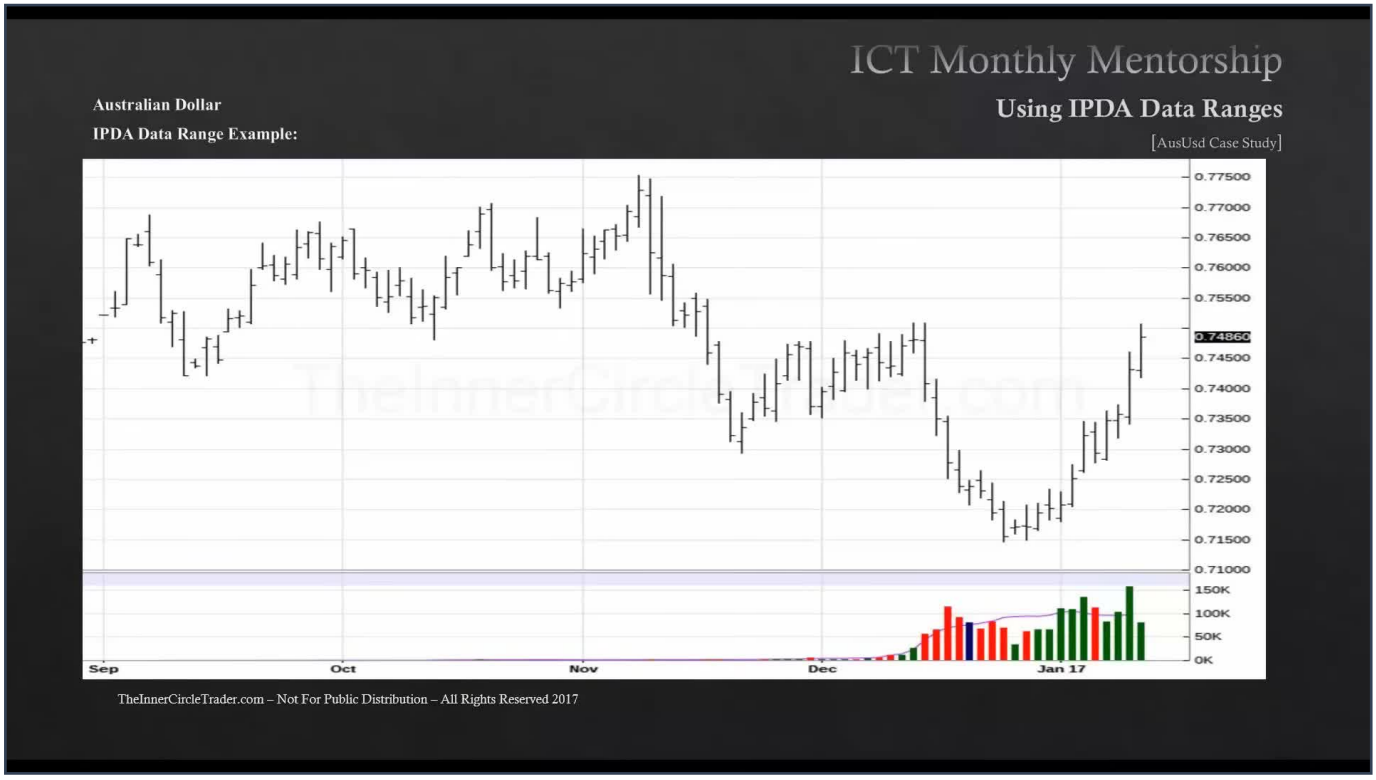
So since we're looking at the Australian USD pair as our case study, we're going to be looking at how influential the study of just the futures contract alone is paramount in understanding how that moves right into and segways beautifully into trading in the foreign exchange market. If I were to do a poll right now, if we were all in the same room together, and we simply said, 'hey look, I've never traded forex or I've never traded futures,' if you were studying one or the other, I guarantee you a large percent of you, probably 80 or more, never really refer to the opposite in terms of the analysis.

So what I mean by that is, if you're a futures trader, you've never considered what the foreign exchange market is doing. Or if you're a forex trader, you've never considered what the underlying futures contract is doing, and vice versa. It's imperative that you understand what they're both doing to get a complete picture. You want to be looking at both.

Now, obviously, right away, one's going to assume, 'well, it should be obvious, it should be the same thing because the Australian is leading the pair, AUD versus the dollar, so therefore the Australian underlying

futures contract should be in fact the same thing we see in the foreign exchange market.' And by far and large, that's true. But there are certain data points that you cannot get by looking at the foreign exchange market. There's simply no way of getting that because foreign exchange doesn't give you volume. It doesn't give you accurate volume like you can get volume from the underlying futures contract. And we'll talk more about that as we go.

But I want you to take a look at this chart here. I'm looking at a little bit less than six months. I wanted to show just this data range because outside of this, the chart becomes spotty because it is a futures contract and it's March delivery. That means prior to March, we had December's contract, and that's already expired, and now we're trading in the nearby contract, which is March 2017 Australian dollar.



When we taught, or rather when I taught the IPDA data ranges, obviously I asked everyone to hold off sending me emails, but some of you were just overzealous and want to know it right now. And these are things that are going to be building on your understanding as we go through the mentorship, especially through January.

But I want you to focus when you look at your daily chart. Just simply go through and look at the last three months. Start whatever time point you're looking at. Like right now, let's assume we sat down with charts right now, and this would be the first day we're looking at Australian dollar. We're a brand new trader, brand new to the concept, we're sitting down. How would we go about looking at where the IPDA data ranges are?

And if we're looking at Australian dollar, you want to go from today's candle, which is what's being painted here. And it's not a candle, I know it's open high low close, but you have to suffer through that, okay? Because I had to get these slides together and I promise there will be candlesticks shown. But for now, I want you to focus on this because the open high low and close is important.

The most recent market shift in the last three months occurred back in November. Now I know some of you that are hardline critics are saying, 'well, here we go again, this is the hindsight thing.' This is where hindsight is gold. You need to know what I'm going to show you in this teaching because it will clarify what the IPDA data ranges are actually supposed to be doing for you. Some of you are thinking that it's going to

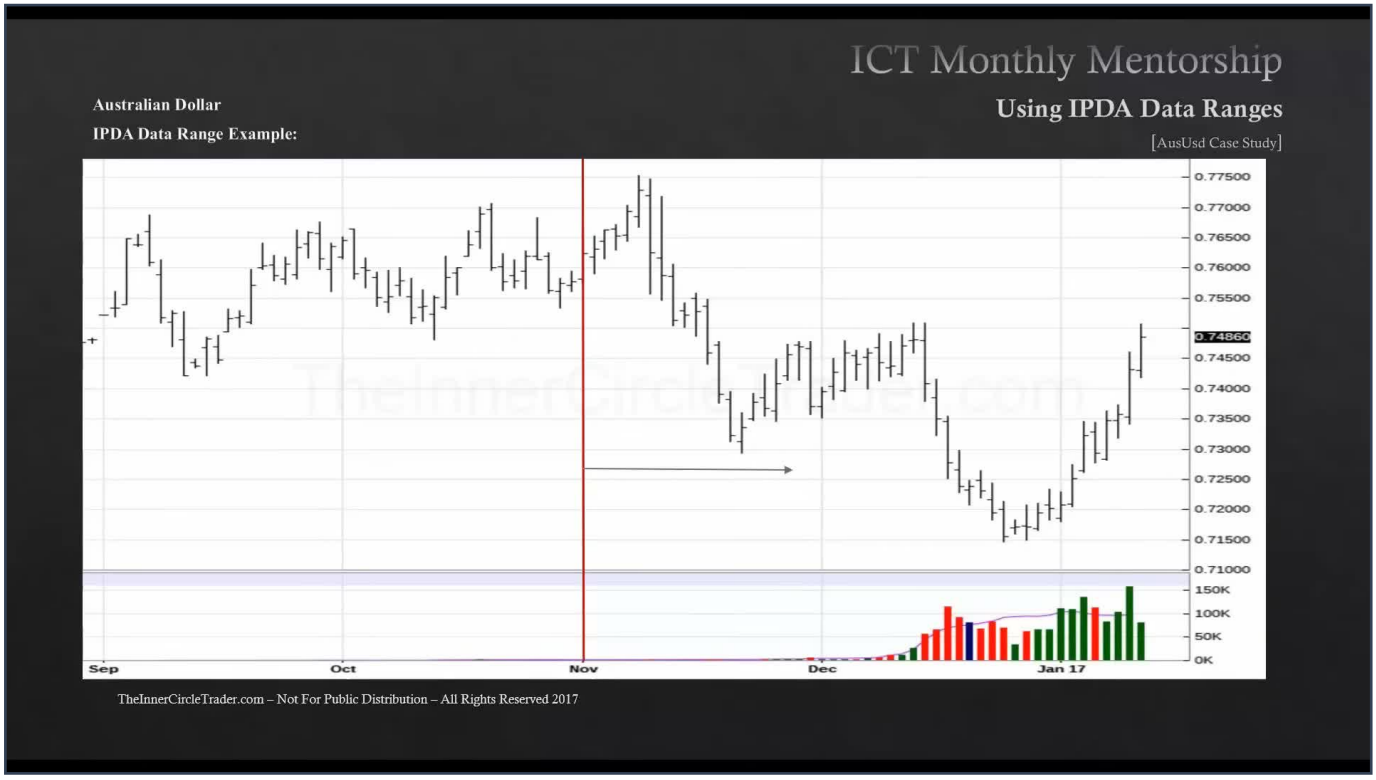
call the high and low 20 days, 40 days, and 60 days away. That's not what happens. Sometimes it can occur, but that's not what its job is, okay?

The question that comes up a lot is, 'when I'm looking for an order block to buy from, or if I'm looking at an order block to sell into, or if I'm looking for an area of buy stops or sell stops, which one should I expect them to go after? Which one are they going to respect? How do I know if it's not going to keep on going through an old high and not be a turtle soup sell?' All those scenarios and those ideas, while I told everyone in the beginning if you were just patient and waited, all those questions would be answered. But some of you are just really, really impatient, and I get it, you're excited and you think that you're not going to learn all this stuff in the remaining time of the mentorship. But trust me, I'm committed, you will learn it. There's tons of information coming to you, but you have to let me go through the process of teaching it. This isn't the first time I taught this stuff, so trust me, I've been successful in the past doing it, okay? So just go along with the process.

But if we look back in November, we can clearly see that there was a major market shift in November 2016. Now what that does, it gives us a great deal of insight. We can't take a time capsule, travel back in time, and be back in November and go short there. But we can use the information that our daily charts are telling us there. That means there was a great deal of displacement by the large players or smart money. When we see that in November, what we're seeing here is the underlying futures contract of the Australian dollar has a market shift right there. That's a quarterly market shift.

Over the last three to six months, that's the most obvious one. You can clearly see it. If I was to ask everyone, if you're all in the same room, raise your hand if you can clearly see that that is the most obvious market shift in the last three to six months. Everybody invariably would raise their hand, they would click. Obviously, if you can see it, you can't deny it. That's what you're looking for. Every three months there's going to be something like this occurring. It could be a sell-off creating a high, or it could be a low where it starts to rally. But every three months, I want you to look at your charts and anticipate finding that in hindsight.

Now, great, that's wonderful, you can see it in hindsight, what do you do with that information? See, this is what I have an issue with, like with Elliott Wave and all these other, they're just very highly subjective. If the market really is influenced or controlled by smart money, or if there is what I'm telling you, there's an algorithm that controls what price is going to do, it's absolutely not random, it's predetermined. It's running on a script that refers to specific data points that it will go back to over and over and over again.



The IPDA data range, okay, you have a 20-day look back and cast forward range. You have a 40-day look back and cast forward range, and then you have a 60-day look back and cast forward range.

What I'm suggesting to you is, if you are looking at price and you see a, for instance, a market structure shift here, and the quarterly shift occurs in November, that means that now the market is in a sell profile from that point until it gets to a level of significant counter direction. What would cause it to change direction or consolidate? That's the other thing, that's the vague, not green, but gray area in the analysis.

Sometimes you won't see a clear retracement or correction opposite direction. For instance, it's been going down in November. It could have very easily been consolidating here going into January, into February. It doesn't need to be a counter-trend move like we're seeing unfold here since the last week of December. It can be a consolidation. And as we go further into the content for the January delivery of the information, we'll talk about when it does or when to anticipate when it's going to go into consolidation and not have a counter swing.

So back in November, we see that there's a high made. What's really going on? That low here is broken, so we have a shift in market structure, and it breaks lower. We know that we can see it because it's taken out an area of equal highs and we pierced above that, taking out the buy stop liquidity pool, and that's seen here. That was the basis and the framework around what caused the market structure shift. That quarterly

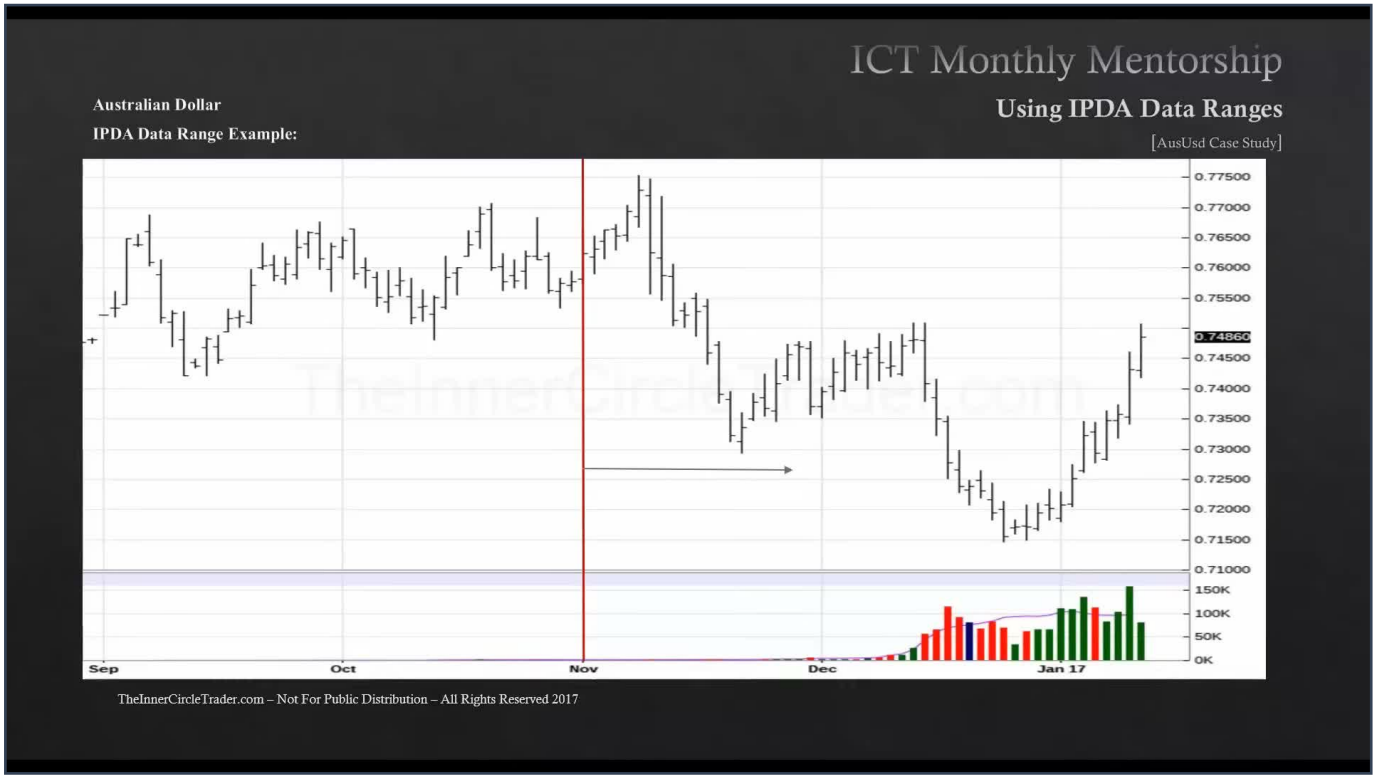
effect comes into operation at that moment, okay?

Where our eyes go immediately back to November because you can clearly see it. When you see that and you delineate that in your chart, what you're doing is you're now identifying the beginning of November. So you have to have a basis point, where is it, where did it all begin? Because if you don't get yourself in sync with what IPDA most recently did (and IPDA is the Interbank Price Delivery Algorithm, that's for your notes again), you're going to delineate where the most obvious one in the last three months has been.

Then you're going to cast out 20 days. Go forward from the beginning of the month that that market structure shift or quarterly shift takes place. You're going to count out 20 days. Now, it may not even be 20 days. You may look at the chart and say, 'hey, this is an obvious one right here, something's really going on.' If you do that, you're really doing too much anticipation. You've got to go back to the most obvious one, and it may require you going back three months.

But find the most recent one where the market structure has shifted and there was a move that took place that was obvious, bullish or bearish. And it's really easy if you just divide your daily chart into quarters, like put one, put a line on March, put a line on June and September, December, and just keep doing that. Your eye will go right to where these quarterly shifts are happening. They're not going to always occur on those months. There's a little bit of gray area, which is the reason why we have a look back and cast forward.

The IPDA data range, okay, what it's really doing is it's highlighting you as the trader. You're going to try to mimic what this algorithm is doing. It's looking for the liquidity in the range of 60 days in the past. Where are the sell stops in the last 60 days? Where are the buy stops in the last 60 days? Where are the fair value gaps? Where are the price gaps that price has not been efficiently delivered in the last 60 days? Where are the liquidity voids where price has only been delivered on the upside where it has to come back down to efficiently deliver price and balance it out by going back down and closing in that range? Optimal trade entries, that's where that comes from. Where are the equilibrium price points? Does it have to return back to equilibrium? Did we get too far ahead of ourselves? Do we extend too far? Do we have to come back and retrace, minor retracement, before we see the next leg lower?



By looking at the market structure shift that takes place in this November time period, we are in essence saying that this is a quarterly shift. Therefore, because of the daily chart, this is going to give us insight about what the market should do on a three-month timeline, as much as six months. But I like to just remind you that I'm only really looking for about three months horizon, time horizon, that far out. I don't like to look beyond that. There's many, many times I can show you in journals where I had it right, but I really just because I had it right, doesn't mean I was executing on every trade. But many times I'm really accurate in about four to six weeks time horizon, and it's about the half-life of a three-month cycle.

So if I think that the time horizon is consistently derived at by looking at three months out by using the daily chart like this, that's my belief. I'm firm in my belief that I believe I can teach you how to do that and have a three-month horizon. By having that, that is a great deal of opportunities for all disciplines of trading: long-term positions, swing, short-term, intraday, scalping, all that stuff can be done effectively by having this time horizon.

But when we find the clear market structure shift that happens every quarterly, every three to four months or so, we find it, we identify the beginning of that month. You've got to roll back to that first month. Why are we doing that? Why does it have to go back to the first month, first of the month rather? Because if an algorithm, and I'm not sure if any of you are aware of how computer programs are made or designed, but when a systems analyst sits down with a company and they say, 'okay, look, this is what I want the output to be,' or 'I need a report generator that's going to give me this outcome,' or 'I need this information,' or 'I

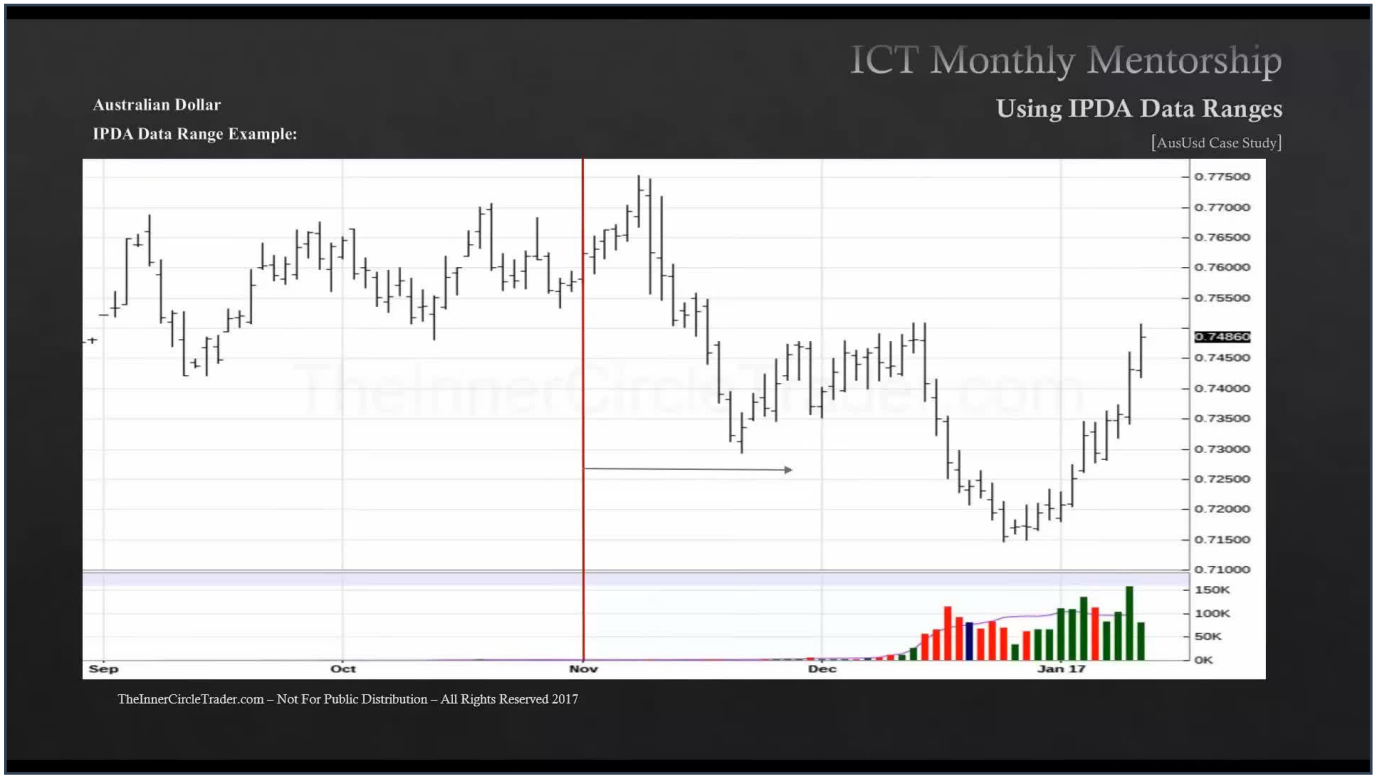
need this computation made,' 'I need this process done,' okay, the systems analyst is going to say, 'okay, what data points are you making available to me so I can sit down with my team of computer programmers?' Okay, and the analyst will make a documentation stage where he sits down and outlines the overall macro process. Now, because of what they're dealing with, they are taught and learn computer programming to some degree, but they are not doing the programming. They put all of the context around what is supposed to happen, what processes are there, if this is done, then this should be done as well, what checks and balances. And it's basically the documentation stage of the process of a computer program. Then the computer programmers take that information and they actually code it out. Now, a computer program and a computer programmer is completely utterly blind and useless if he doesn't have data points to use. You can't have a computer program do anything of any value unless it knows where to draw data points from. There has to be an array of information coming to it to process and do calculations.

So here's my, this was my epiphany, okay, when I was sitting down with the folks that were introducing these ideas to me, and no, they're not in the teaching circuits, you're never going to meet these people, okay? But when I was introduced on how the markets actually work and operate, the fastest and most obvious thing I learned was there was no ambiguity to how price moves around. There was no randomness because they were talking about things that had a finite origination where it wasn't like it could have been this day, it could have been that year, it could have been this month. No, no, no, no, it's absolutely nothing like that. If you understand that we're going to be referring to things that are numerical, they are price related, they are value based. That means that we have to look at a specific level and price.

But how does the algorithm go just to an old price? How does the algorithm know that that's where the large fund stops are? See, this is what's taught and permeated in the teaching circuits in education for trading. They teach, and I've said these things before, but I used it to communicate to you the idea because most people don't understand fund level trading, they don't understand institutional trading, they don't know those types of things. They just think, 'I got an account with my broker, so therefore I'm trading, and if I get stopped out, it's my broker that did it to me.' And many times that's true. But the delivery of price from the central bank level, that movement, that repricing, is really, not always but on the short term, it's being repriced to take into account for large liquidity pools that are available on the large fund trading realm. Not your little mom-and-pop FXCM, not your OANDA, none of those things, okay, are obvious or on the radar screen for what I'm teaching you here. But they are in close alignment with the same thing, okay? But these movements for these runs on stops, they're not looking at, 'oh, here's Michael's stop,' 'okay, here's John Jones from Allentown, Pennsylvania's stops,' okay? They don't have that type of information. They don't see you. They don't have any identification of you. They don't have any identification to retail at all.

But because these ideas are taught across the board the same way, because it's been put out there to be done this way, because eventually if you are an accurate trader that's a retail based trader, eventually if you're profitable to some degree, what eventually happens to some of these people, they get very high-

minded of themselves. They think then they're great at what they're doing, so therefore they're profitable, and the first thing they want to do is prove it to the world by having everyone else give them their money and they're going to be a trader that manages funds. No one wakes up and is born a large fund trader. They come up through the ranks of being a profitable retail trader. So are they going to come into that realm and change the way they've been doing things? Absolutely not. It's the same thing they're going to do there. Then the difference is they have a process on the fund level that they have to go through specific parameters and guidelines and stay within these to be compliant with whoever is running that operation behind the scenes. In other words, just because you're a large fund manager, unless you're operating alone and independent, if you go to work for an agency and you are a fund trader and you're managing under their umbrella, then you have guidelines you have to work within. There's rules and things that you can't do outside of these or you're, you know, you basically get canned, you're out the door, you're gone. You can't manage anything, you know, they'll expel you. But these ideas are the same.



So, how can an algorithm or a computer, we'll just say it like this, how can a computer program know where everyone's stop is? It has to have a range of data. Now, just because we have the numbers of price, the value of price, okay, they have to have a look-back period. The look-back period is 20 days, 40 days, and 60 days.

And what you're doing is, and this is what I want you to do with your time after today's teaching, while you're waiting for today's daily recap video (because there'll be two videos go up, this is the teaching video for today and then we'll have a daily review where I do like 10-15 minutes talking about what's already happened and I'll give you the charts and stuff to study). I want you to spend your time this evening, okay, and even tomorrow while we're not doing any live session, go back through your charts and don't just look at the Australian dollar. Look at every currency pair, look at every commodity, look at individual stocks, look at indices. And you'll see quickly by studying this, it will become quickly clear that there's no randomness to it, there's a specific pattern that this thing does all the time.

Now it used to be a manual thing where the market maker was a real person, they sat there and they worked with a team of individuals that manipulated price to do these very things. But because everything has become so streamlined and efficient by artificial intelligence (AI), the effectiveness of algorithms, that's been implemented now. It's much more efficient to do that and there's no emotion, it just does what it needs to do. So if it's a computer program or, I'm quoting with my fingers now, 'the Interbank Price Delivery Algorithm,' that computer program we're going to call it from this point on for this teaching, for it to be

effective, it has to know where to look at to find stops. They don't see orders, that's not what's going on. They don't see orders. The orders are executed on by the traders at the bank level. The algorithm just permits the price to move to that level, which gives the opportunity for the traders to execute on that run. That's the real story, that's what really goes on. Everybody else out there in this industry will tell you, 'well, it's this happening and this this guy here, he's he's pushing a button and it's doing this to have no,' it's not, that's not what's happening at all.

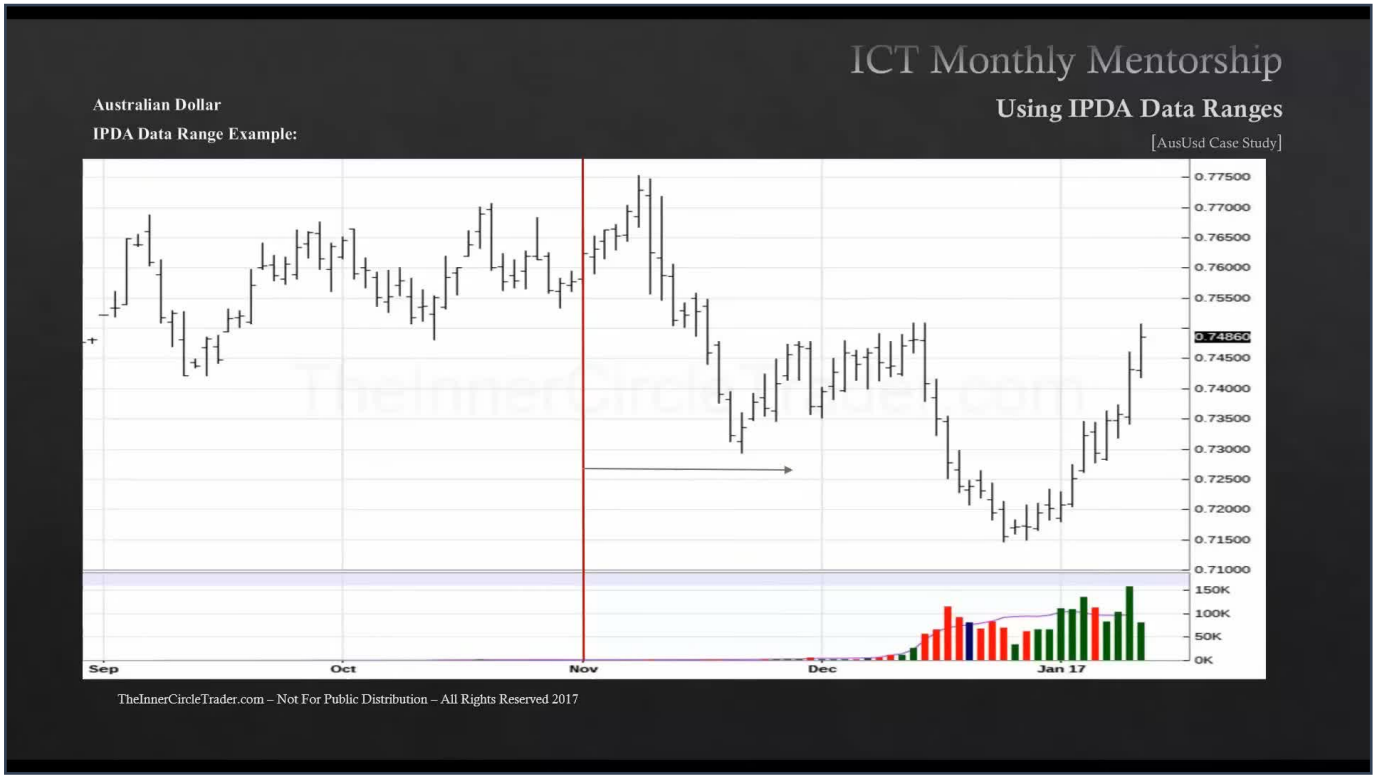
The algorithm will look back 60 days, and it'll find, it's very easy if you if you know anything about computer programming, and you don't even have to do that, but just look at this: first of November. If you look back 60 days in the past, what was the highest high in the last 60 days? There's going to be buy stops above that high. What's the lowest low in the last 60 days? There's going to be sell stops below that low. In the last 40 days, what was the last highest high and what was the last lowest low? Looking back in the range to the left from that November red line that we're dealing in November, where are the stops below and above those highs inside of the range of 20 days, 40 days, and 60 days?

Now I already know what some of you are thinking, what happens if there's a low that's really, really obvious that's just outside the range of 60 days? That's the farthest extreme. That's when the open float will move aggressively and go outside that normal parameter of 60 days, and you'll see that big run. The market will jump and skip right down into that old low that's just outside that 60-day range. How do you know when it's going to be an explosive move, Michael? When you have that scenario. If the last 60 days, if they've already ran out the stops below and low in the last 60 days, or above an old high in the last 60 days, and there is a larger higher high or lower low where the stops will be resting above or below respectively, then you know there's going to be a big run on price and they're going to run for that liquidity because that's the only other thing that's left.

The large funds have their orders above and below these old highs and lows. You work just like the algorithm will in a 60-day range. Look back the last 60 days, and then you watch going forward. You cast forward 60 days, and you can literally have this on your chart. You go forward, count forward 60 days, you can literally go on your daily chart in MT4 and change your date 60 days forward to make a vertical line, and that way as price starts to paint, you'll know you're approaching that 60 days. That means it's going to be forming some measurable intermediate term high or low before that time. And it's going to create a liquidity pool above an old high or below an old low that's going to be influential for future trades.

The same thing occurs by looking back on the last 40 days to the left of that November 1st. Look back 40 days, what was the lowest low, what was the highest low? I'm sorry, what was the highest high rather, and the lowest low? Your buy stops above the old high and the sell stops below that old low inside of that range of 40 days. That's where IPDA will look for that liquidity. Now it's not giving you directional bias yet. I'm

telling you it needs to use these reference points to find where the stops would logically be. See, the AI cannot, it can't think for a human. It can't do that. But because human nature says that we will as traders put our sell stop below a low and we will put a buy stop above an old high, that's all the algorithm's doing. It's seeking to take price to that level. When it gets to that level, then your broker, then the central bank can do a wild spike and send it above 10 to 20 pips. Think about it now, 10 to 20 pips then becomes logical why they do those big spikes, okay, intraday. 20 and 10 and 20 pips above and over high, then it stops right many times right at 20 pips or 10 pips and then rejects. It goes the other way. It first has to get to those levels based on a daily chart in the realm of a 20-day, 40-day, or 60-day look back, and then cast forward. So really what you're doing is you have 120 days of range from the past and going forward. There's going to be a significant move.



Now, some of you are thinking, 'of course there's going to be a move, Michael, come on, I mean, a lot can happen in 120 days.' Yeah, you're right. But there's things that you have to look for that the algorithm is going to be doing to engineer these types of moves. You have to have these data points to know why the market's going to go at an old low. What old low? Well, where's the lowest low in the last 20 days? Where's the last 40 days? Where's the lowest low in that range? Where's the highest high in that last range? And you need to be noting those because that's the one that they're going to run. They're going to run right for those. If there isn't anything that hasn't been traded to in the last 60 days, if everything's been wiped out above and below the marketplace, in other words, the open float, all the buy stops above old highs and all the sell stops below all those in the last 60 days in your look back, in other words, everything to the left of that November vertical line, that red line. If everything's been cleaned out above and below the highs and lows, there's no more buy stops, there's no more sell stops, it has to create a new expansion.

So you have to identify what the next high and low outside that range of 60 days looking back, where that is, and that's going to tell you where they're going to draw a price on this daily time frame. It's more, it's more confirmed when you start applying it to the weekly chart and the monthly chart because you'll start seeing things align where that old low that's just outside of the last 60 days looking back, there's an old low that may not be on this chart here. I don't know, I'm just giving you a hypothetical example. If there's an old low that's just outside the realm of September in this example here, say maybe there's August, there's a significant lower low, the market's going to reach for that. There may be a high that's just outside the September boundary in August. They may have turned around here, and they make a run for that. Maybe it may be in the 78 price range for Aussie. That's what you would be noting, and you're going to look for price

to be drawn to one of those two price points. And you look for evidences that that institutional order flow is going that direction. Then you know where it's going. It gives you directional bias because of the higher time frame nature of this daily chart and weekly and monthly.

So what we have here, this is the look forward, okay, or cast forward of November. This is 20 days out from the 1st of November, so we have 20 days here. Inside of that 20-day range, there's going to be a significant setup that you can use for your trading. It's moving up into the old low that was formed in October. It goes into consolidation. Well, here we have a condition where the market didn't create any significant shift, but it starts to move in consolidation. Then you count forward, okay, from here, that's the 20th. So you can go from the beginning of November to the 20th. Yes, there was a price swing. But using the information, the next stage would be 40 days out from that price point of November beginning. We have here that is your 40-day lookout or cast forward, and you're looking for again, a potential major shift, quarterly, it can happen at that point.

Now it didn't give you the lowest low because if you go back to the left, two daily candles or bars, the last down, right here, this down candle, that was the actual low. We had a small little range in here, and then we came down and hit this level here, 71.50. That's the 40 days out from the beginning of November, framed on the quarterly shift that took place here. So we're anticipating a potential change in the direction, okay, 20, 40, or 60 days out. But that's the range. It's not always going to do like what you're seeing here where it's almost calling the very day it moves and makes the change. It's you're allowing your study to say, 'okay, the price is going to move about 20 days and then we could see something.' If it doesn't happen in 20 days, 'okay, well, in the next 20 days, up to 40 days from where the market structure last shifted here quarterly, then we're going to anticipate in the realm of the next 20 days it may happen.' So you have to be looking for signs that it's going to happen. If you don't do these things, you're going to marry the idea that the market's going to keep on going lower and never turn around. It doesn't, it doesn't do that. Markets are not trading straight lines.

So if we see here, on this day here, this is 40 days out from the beginning of November, a very significant price move occurred from that price, 71.50. I mean, I would think everyone, if we were all in the same room, if we raised our hand if we were in agreement, I think the majority of us, if not all of us, would raise our hand and say that's a pretty significant move off that level.

One of the things I learned when I was an indicator-based trader, I liked stochastic, I liked Larry Williams' accumulation distribution formula where it plotted an accumulative line based on the relationship to open, the close, and closed open, and measuring that as some smart money buying and selling. Well, sometimes that's true, not always, and it didn't always give you a divergence. I liked his William Percent R, and the reason why I liked his William Percent R is because it has an uncanny ability to be one day before. Like if

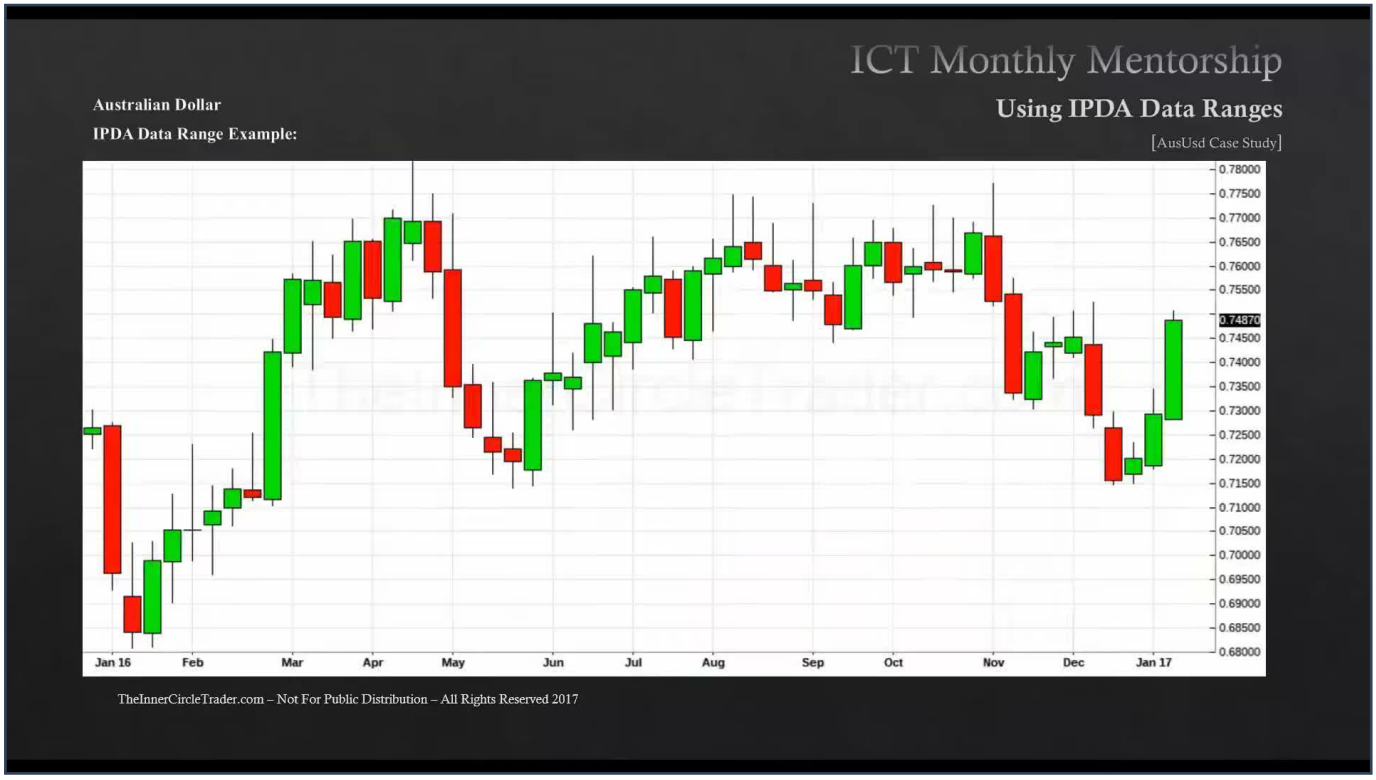
you look at stochastic, you have to wait for the candle to close and go to a new candle to see if the K line crossed the D line or D line crossed the K line or whatever it is, I don't even remember what it was anymore. But the trigger line that uses the idea behind a crossover for a stochastic, that has to happen after the fact. Well, the market's already moved. When I looked at the Percent R, what that did, it gave me many times the day before the real oversold condition would happen. For instance, if the oversold condition existed in William Percent R today, that means tomorrow it's probably still likely to go down just a little bit more, but that's going to be the buy day. That's a very low low.

Well, that same phenomenon sometimes occurs with these ranges. 20 days out, you may get the, if it doesn't turn, it may happen on the 21st day or it may occur on the 19th day when it does occur, but that's not what you're relying on. So it's important that while that may have magic in your chart, sometimes you may see it happen, it might do the very thing of turning on the 20th day or the 40th day or the 60th day, and you saw that in my first teaching for the month. I wish I probably would have stressed it more because everyone seems to think that that's what's going to happen. I'm not telling you the market turns every 20 days, every 40 days, and every 60 days, but it can and will sometimes do that. What we're looking for is these quarterly shifts that take place. Once we identify one, there's our beginning point, okay, but you have to roll back to the beginning of that month it occurs in. It occurred in the second week of the month of November, so we're now, we're calibrated. Now we can start going forward until we see an equal or counterparty to that move going lower. It has to be a significant, um, you know, retracement or correction or reversal. It's indicating that here, the last week of December. Why is it doing that? Because we've taken out December's high. See that? We're trading at a level where if this was continuously bearish, it shouldn't be where it's at right now today, okay?

But my point in drawing your attention to the 40-day is, it was not the 40th, I'm sorry, it wasn't the fact that it made the lowest low and turned on that day, but look at the low in proximity to the lowest low that was formed here inside to, see this day here was inside the range of 40 days back to this point price point here. So from this level of looking at the first day of November, casting forward 40 days, this whole turning point right here could have happened any time in the last 40 days. Now again, that for some of those that are cynical, 'of course, obviously this this is of no value.' It's a great deal of value because inside that 40 days, just like when we look back for 40 days and look for the low for sell stops and we look for the high for the buy stops, in this range here, what is this? That's a low. Below that low is going to be what? Sell stops. Yes, we moved about 150 pips or so below that. But we came to a level of 71.50, that's not random. 71.50 is a significant level, it's a mid-figure level, and it's happening at a time when inside of 40 days, the IPDA data range is going to be looking to do something. It has, it has to do something every three months. Price is going to be pushed around, it's going to be drawn to a level or it's going to repel from a level, and it's based on what I'm telling you here, it's seeking large fund liquidity. Now longer term, where we're talking about monthly and yearly moves, they are all driven by real fundamental things like interest rates. But every quarter there's going to be an ebb and flow that takes place, a rally and a decline. When this occurs, that's all short-term in nature. When you look at long-term trends that go for five years or 10 years, three months

is nothing. That's like a five-minute chart on the scheme of a weekly chart. It doesn't mean anything. There's no significance to it at all. Long-term macro fundamentals are not impacted by three-month cycles, they're not. They can be used to get in sync with long-term macro fundamentals. But the only fundamentals you're going to get from me is interest rates, which I'm going to talk to you this month as well.

So again, in summary, the 40 days, and I'm not done teaching, but for 40 days, this range, we're looking back because, you know, here we have a new 40-day look, we're casting forward 40 days, so that at that moment we're going to have that in our charts. From this point here, we know 40 days from then this is where we would have our expectation of a shift. But we also, because we can do that in advance, we can now look back 20 days from there, we can look 40 days back from there. Where's the lows and where's the highs? Think about that. If we know at this point here, casting 40 days forward, we can have a vertical line right here on our on our charts. Now, to someone looking over your shoulder, they'd be like, 'why is that line even there? Why do you have a vertical line there?' 'I don't know, I ain't telling you, you weren't part of the mentorship.' But from this point here, counting back, that's good. Here's here's got to count this day as day one: one, two, three, four, five, six, seven, eight, nine, 10, 11, 12, 13, 14, 15, 16, 17, 18, 19, 20. Okay, 20 is basically the last day before you get to December. So the second to the last day of November is 20 days back. What was the highest high formed in that range? It's going to be mid-July, mid-December, where it made those equal highs. So there's going to be what's resting above that? Buy stops. So what is the IPDA algorithm going to do? It's going to seek that liquidity, it's going to go up there and take that. 'Which high should I look for, Michael?' That one. Looking back from this point here, because we know it from this point here, casting forward 40 days, okay, going back 40 days. Well, that's going to be in the range that's delineated here with this line that we've already shown. This is the low. Is there any significance about that low? Well, I'll count you to go into your 4-hour, 1-hour, and 15-minute time frame and put up 7300 on your Aussie dollar and see what you see. There's nothing random about this stuff, folks. That low is 40 days inside the 40-day range. That is a significant turning point. It's not the very lowest low, but you can see that the low forms two days before that, and then we have a market structure shift, and the market starts to go opposite to what has been put in place in November. You can now also from that price point there, by having a vertical line on the arrowed daily range, you can now start counting forward 20 days, 40 days, 60 days, until you see an obvious shift quarterly. There's a major structure shift, okay, it could be bullish or bearish, whatever one it happens, it doesn't make it that you're not trying to forecast that. All you're doing is anticipating another significant move in price on a daily chart, and it happens every three months. But the point is, the IPDA data ranges give you a means of looking back 20, 40, and 60 days from specific days and specific price points because then you'll know what stops they're going to be reaching for, above the old high and below an old low. It's not just, 'well, I'm looking for the most recent obvious high and low.' No, no, no, no, it's not like that at all, it's not like that at all. You've got to look back in a range of 20, 40, and 60, and then if all those levels have been cleared out, then you've got to look outside that range, then you know you're getting, you may see a big move. And if it has these characteristics, then you know you're going to see a larger move higher or lower based on what those highs and lows would be outside the most recent 60-day look back.



All right, so this is the Australian dollar candlestick. You can rest your eyes a little bit, and then we're straining your eyes on the open high-low and close bar. Here's that 70-50 level, okay, and why is that significant? Here we have an old low back in February of 2016. We have a last down candle, but that last down candle has a range in it. Okay, let me show you again, this is what it looks like, that wick right in here, right here, look at that price movement up right before the last, it was the last week of February, the big green candle right there. We know that prior to that we saw the down close and that explosive range higher, that high is going to be significant, it's going to be sensitive, okay? But all the way down into the opening of that weekly range, also notice that this last down candle here, right before this big move up in the last week of May of 2016, that last red candle, that was the bullish order block as well. So we have a big range to work within.

Then going into the latter portions of 2016, the last down candle in December, that would be a bullish order block as well. Looking at the high and the open on that candle would give you significant price points to go forward as well. But look what happens when price hits this 70-150 level. It's been down here before, and they repelled aggressively away from that. Fundamentally, there must be something to it. I don't know what it is, but on a weekly chart we're going to be using old highs and old lows, and if those old highs and old lows had significant buying and selling pressures, it's evidenced and you can see it here, we have to be mindful of that. And you can see that they have in fact traded down there, we tapped it two times on a weekly basis, and then moved out.

Once we moved out away from that level, you'd see that they're going to be looking to do what? They're going to be trading above these candle bodies, and the wicks are next. And we could potentially trade up into this last up candle in the last week of October of 2016. That's where the bearish order block is. So we have a range that potentially could take us up into 75.70 to 75.80 still for Australian dollar.

Let's go back into the daily, the Australian dollar, and I want you to take a look at this chart for a moment. Stare at this for a second, tell me what you see. Okay, this is again, this is the March contract for the Australian futures market. It's going to basically do the same thing our Australian dollar pair does in forex. But what you're seeing here cannot be seen in trading forex. And all these guys that get on Facebook and on the internet and Twitter, and they know everything about forex, and they know the insides and everything that's secret, okay, the buzzword 'smart money' and now it's 'institutional trading,' everything is making its way into everybody else's curriculum now. But none of them talk about this, okay? And this is where I learned the things that Larry Williams taught in his book, 'How I Made a Million Dollars Trading Commodities Last Year.' He wrote that book in the 70s, folks. You know, we're in 2017 now. Very, very few things have the longevity of what has been taught in his book. I mean, for less than it costs for a pair of shoes today, you literally can buy a book that if you have no understanding about how commodities move and how they're priced and all that business, to me I think that is an essential part of every trader's library. Again, the title is 'How I Made a Million Dollars Trading Commodities Last Year' by Larry Williams.

In his book, he talks about how he was taught, he didn't discover it, he was taught this by his friend, and I think if I'm not mistaken, I think he names his friend in that book. But the fact that open interest is the most misunderstood data point in trading is a wonderful opportunity for you as a trader. If there is, now think just for a second, if there is 100 percent control over price, there has to be someone controlling it. We're going to globally call that 'smart money.' If they are controlling it, why would they want to control it? Greed. They want to make money just like anybody else does. Banks are not in the business to go out of business, they're in business to buy and sell money, or provide means for you to borrow money to pay them interest on the usage of that money. That's just one facet of it. There's also speculation. That is the most misunderstood realm because it's not widely talked about. You have to be in that arena, you have to be there to know anything about it, and you are forced to not talk about anything.

So I had to create a language, if you will, to be able to talk where the things I understood are effectively communicated, but also doesn't put me out there where I'm in trouble. That's why we are in this teaching, this medium. The things that I quickly learned that were apparent in the marketplace is that yes, there is an entity out there that is 100 percent interested in offsetting large funds because they have real huge orders in the marketplace. And if they can upset them or take them out of the marketplace, they know that their viewpoint will eventually get back in line because they're trend following in nature. They can take them out of the move and take their seat in that position, or they can take them in the wrong side of the move and then reprice aggressively the other way and they can profit from that. They're not looking at OANDA or

FXCM's books and saying, 'okay, well, you know, we're going to really punish retail today.' Retail is just following the, you know, the blind leader of all these textbooks, all that stuff, you know, that leads you to losses. That's a derivative of you doing what you've been told to do, and it doesn't have any basis in how the markets actually work. Once in a while they will work, but you're not, it's not because that it didn't happen because the divergence in stochastic. It didn't happen because your wolf wave or your harmonic crab riding on the back of an eagle's wings pattern doesn't, that doesn't happen. Okay, price is moving based on where the large funds' orders are, where that open float is. On these higher time frame charts, that's what's drawing price. But because the price is going to allow the bank level traders to get in and build positions. In otherwise, if it was really just the central banks repricing, it would be like all the time big moves, moving up to an old high then down to an old low. The traders have to have an opportunity to work inside that position to capitalize on the move that IPDA is engineering for them.

How do we know when the banks, smart money, are actually going in and buying? If we know that there's a likelihood that 71.50, when Aussie dollar is potentially bullish, what evidence is there that there is in fact smart money buying it? Well, inside that blue shaded area in here, I have a great deal of insight to share with you, and some of you already know something about this, but I want you to think about this:

Every three months this occurs. Write this down in your notepad, if you're busy changing diapers, doing dishes, hiding from your boss, write this down: Every three months this pattern occurs where you're at a support level, a major higher time frame support level. If you see an expectation that price should be bullish, we have been trading lower, and we hit the level like we're seeing here at 71.50. Let me go back one more time to show you the weekly chart. There's that 71.50 level down here. We've been there before in May. So look at that level here, you can see that 71.50, that level has been hit perfectly, hits it, okay? And it runs away as price hit it.

As price hit this level here, this purple line in here, I want you to look at what was going on as price was dropping down, okay, all through this market structure shift in November, okay, what's happening here? Yes, price is repricing, going lower. It's allowing bank level traders to be short and capitalize on that move. But also open interest is also declining. Why? Why is that happening? Why is open interest declining when this move's dropping down? What significance is that? Because if you read Larry Williams' book, he says his buddy told him if the market is in consolidation, all through here, all between 77 and 74.50 for August, September, and October, price was in a big trading range, it's in consolidation.

Then in November, it creates a false breakout above 77 big figure and rejects and trades lower. Open interest is taught that as long as a trend is going up or down and you see open interest increasing as the trend goes, that's a healthy trend. That works for bull markets, doesn't work for down markets. That's a misnomer, that's misinformation. Larry Williams says when open interest drops while you're in consolidation, we're in consolidation all through August, September, and October, price drops down in here, we have a big drop in open interest. Open interest is the total open longs and shorts that are in the marketplace right now.

If the central bank is the storehouse for price, it's their currency, it's their commodity. If you are trying to buy currency, it has to be made available to you, and it's going to come from a bank. If this would have been gold, okay, the commodity is gold, there's a provider or a liquidity provider of gold, okay, you have to buy up this position or assume a position in gold. Well, for Australian dollar, if you're buying that currency, it has to come from somewhere, it comes from the bank. So if they are the liquidity provider for the price of Australian dollar, the central bank of Australia, if that bank is providing you the basis of the valuation on Australian dollars, they are essentially doing what? They're the counterparty to all the large funds. Not always, not 100 percent because you have all kinds of smaller entities and institutions that could take the other side of other positions. But for the most part, view open interest as every trade that the central bank is providing counterparty to. Basically what a small brokerage firm would do with their own clients, they are the liquidity provider. Well, the central bank is the liquidity provider for Australian dollar.

So if we see open interest increasing, what does that mean? That means the central bank is taking on risk. It's providing liquidity for buyers of Australian dollar. If open interest has a 15 or more drop or change lower like it does here, this is extended, this is a very significant drop. While price is sideways, this is bullish because what this is doing is, every every time open interest increases, it's indicating that they have now provided liquidity for a buyer. If they're not trying to provide liquidity for a buyer, and they're trying to reduce their holding or exposure, that means that they're not doing what? To offer liquidity to a buyer, they have to be a seller. Open interest reflects the selling side of a provider of liquidity. If this open interest declines aggressively like this, that's indicating they do not want to hold the heavy short position they would be having by being a provider for those that want to buy Australian dollar. You see it rally then.

But look carefully, the extended trading range is months long. What's going on that whole time? From this point here, they start building in positions. They're selling this thing as it's creating higher highs. It's coming back, they're selling more of it here, and they're selling more over here. Every peak in the open interest from the low it creates here, every peak in it is a high. They sold more here, they sold more here right at this high, they sold the most right there. They're selling into that rally.

You don't get that from Larry Williams' book. You do get him saying open interest increases when we're in bearish markets, and then for the consolidation it tells you if we see open interest increasing in a consolidation that means that the open interest is reflecting heavy net selling on the central bank level. That's how I'm viewing it for currency trading. But what he taught in his book was the commercial traders, the large commercial users and producers of a commodity, they're actually building in heavy short positions. What I learned was by looking at open interest and matching up the highs to the peaks and open interest, you can actually see where they did their sell programs. That's a sell. They're selling it here, and in the very highest peak, they sold it there.

Now think about it, if they sold it there, and then we do have a market structure shift here, are they going to hold on to their short positions? If they're naturally a hedger, open interest is going to by natural order of things reduce as it's going lower because what are they doing? They're covering those short positions they built in here. That's what's happening all through this process of going lower. Open interest is declining. You don't get taught in textbooks. It's showing you that they are in fact in a sell program, and they're profit taking as it's going lower, lower, lower, lower, lower, open interest is going to decline. Then we hit a level like this, major support. Are they going to want to hold on to a heavy net short position by offering liquidity to the buyers? No way.

How do they upset that? They do rapid price declines that knocks the desire for buyers that want to move away and get out of their way because they don't want to be a provider. And by providing the sell side to buyers, they don't want that risk, and that's why they do these massive sell-offs in price. You see these big moves that jump down to specific levels and they just keep going lower and lower, lower. They do that to take away and control sentiment on the near term. You may have been bullish back here. Well, that goes away real quick when they do this, and they would keep driving lower. All of a sudden there's no support levels until you get down to 71.50. They know buyers are going to come in, so they have to reset and drop down quick, boom, they reset. They take all their interest on being a sell side liquidity provider and drop it down to its lowest point. Why are they doing that? Because now their exposure is not here, their exposure starts down here, and they go back to that same cycle. Now everybody's shouting 'buy, buy, buy, buy,' and they will provide that liquidity because they've already profited down here from back here, back here, and back here, all in the last week of September, the midpoint of October, and the second week of November, where they sold and built in their bearish positions.

The telltale sign is inside that support level at 71.50. Dovetailing this with IPDA data ranges and quarterly shifts, we know that this is most likely going to occur and move Aussie dollar up. And go back into the charts and go back into what I was talking about for Australian dollar. I told you that it was going to go higher. This is not hindsight cherry picking. I'm telling you why I said these things and what was behind the scenes that I can't go through, I mean, look how much we're talking about it now. If I did this kind of talk on everything and every setup every single day, I'd never get done, I'd never see my wife, and probably be

divorced really quick. But these are the things that you're going to do in your analysis. It won't take this long, obviously, you'll know what you're looking for because of the teachings. But the mechanics behind it all is that 71.50 is support. Price on the weekly charts bounced there before. We're in the low end of the range for the weekly, um, um, well, the lowest point which has been in a long period of time going back to, go back to your weekly chart that I showed here in your notes, and you'll see that that's the lowest it's been in recent time in the weekly chart. So therefore, it would be reasonable to expect to see some bounce at 71.50.

But I'm drawing your attention to that little area in December, that little massive, really it's a massive decline in open interest, right there, that purple line. When it tanked, went low real quick like that, that's the central bank getting rid of any of their remaining short positions. So now they're done, they completed their sell program: first week of November, mid part of December. So now they're ready, they're prepared for buyers to come in. They have reset their self, there's no exposure on the upside, okay, against them by holding heavy heavy shorts. So now they can start offering that liquidity from the low end because they made their book from 77.50 all the way down to 71.50, 600 pips. And believe me, they're moving size on all that.

So from that point on, okay, we had that delineation on this candle or bar. Remember earlier and looking back 20 trading days, we put you right about in here. That means the high is here. That's where they're going to run liquidity. That's where they're going to be seeking to take price. Now what does this mean for forex trading? All right, so this is what we've seen price do. Here's that 40-day cast forward day. That's the very day and this is that down candle or down open high low close candle, that small little one. And then here's the last one or the 40-day look forward from the first of November.

Price goes higher from there, creates a down candle. Price moves above that candle here. This becomes a bullish order block. So if price was to ever come back down, we could be a buyer there. I said we'd like to see some bullishness on this candle here because we're on the left side of the curve, this is all the sell side. Now if you're going to be bullish, you're going to go look over here at every down candle. There should be some bullishness in here. We saw some of that. They have a down candle here. If we had a retracement, I would like to see it price come back down here. I would be a buyer. That was a potential scenario that could have unfolded. If it didn't, and we blew out the high of this candle, this down candle is going to be the new bullish order block. So its high comes in at 70.350. Price comes down, hits it here yesterday, finds some sensitivity there and expands up and closes in the range.

The context of the move for Australian dollar was, I was not bearish Australian dollar. I did not have you set up to expect lower prices on the Australian dollar. We were looking for this thing to come up here and close in this range and potentially up into this bearish order block, and it's now confirmed that it wants to go

higher relative to the things we just said based on that weekly chart, and we described on the futures contract on its own daily chart. We had a mean threshold of the range from this candle's open to this candle's close. That's what this range is here. We've moved through that. So now what is it indicating? It wants to go higher. What's it going to reach for? It's going to look for a clear run above this high here because that's where the buy stops are resting. They're not going to take it just to this level here and be satisfied. If they're going to allow this move to take place, they're going to punch it through equal highs.

Now I know you're saying, if you're new and you haven't really paid too much attention to and equal lows, and you're only looking for like a perfect equal candle height, this is in my opinion, this is an equal level. It's so close to one another in terms of proximity. If you look at the bodies of the candle, they're almost the same. I mean, look at that. I mean, we have the open on this candle and the close on this candle. Since it's the same thing, we only have this one little wick, so the liquidity really is above here, and in my opinion, it's going to go above this level here. So that puts us around that 75.70 to 75.80 level like we talked about relative to that weekly chart.

So by taking this information and applying it to your charts, it helps you map out while you have areas where, 'yes, this could happen, we could trade down here.' But if it did, we were buying, we would be expecting to be a buyer down there. It may not happen. They may allow price to keep on going and give you no real retracement, but you still had reference points to be watching and monitoring going forward. This was the new down candle, okay, it's going to be a bullish order block. So therefore, we should not see this candle give way if it trades through it. It did. It traded above its high. So now this has become the support level. This level is where the banks are going to look to defend it on the downside. So any movement into it like we see here, this candle trades into the body and quickly rejects. The next day it opens, trades down, it hits the body, I'm sorry, the candle, its high, it's 73.55, goes a little bit below. Look at the low, 73.52. It only went three pips below the level we would be watching for and then look at the aggressive move through it, trading and delivering price with a bullish side of price, buy side delivery. We had all down movement here between 74.34 and 73.80. Prices moved from 73.80 to 74.34 yesterday.

So having that move from 73.80 to 74.34, it closed in that fair value gap that we've been monitoring that occurred in December 2016. And then prices moved through the mean threshold. It's obvious that we'll see a move above that 75.25 level. How much further? Like I said, 75.80 looks likely, and if we do that, we could really make a run all the way up into 76, I'd say 76.50. So 76.50 is likely upside objective if we get really rolling higher. But apart from that, that was the DNA or anatomy, if you will, of why the Australian dollar moved up, why we were expecting bullishness on it behind the scenes. These higher time frame ideas that you're learning, you have to learn to trust them on these monthly, weekly, and daily in applying open interest to levels that you would expect to see bullishness in.

Every three months, okay, and this is the last point and we're going to close today's teaching. The point at which these three-month to four-month moves that take place every quarter, there's a major shift in market structure. And while that may not undo the long-term bullish or bearish moves, they are executable in a way where you can make a great deal of money. You can take a lot of money out of positions if you're properly aligned.

If you are not aware of these, they will take you by surprise, and you're like, 'where'd this come from?' You know, there's no worse feeling than expecting a move to go hard one direction and then see it do something like this. Like, for instance, if you're looking at this move here and say you were a Fibonacci trader, not necessarily optimal trade entry, but say you were a Fibonacci trader and you saw the 50 level here. There's a guy on BabyPips that makes a name for himself on trading at 50 level Fibs. And I use that as equilibrium. But you could be looking at that, say, 'okay, yeah,' and this day you would have probably felt good about the whole idea of being bearish on Australian dollar. Not by what we've been talking about, and we mapped out very specific, we even talked about that very day being bullish. But in the retail mind, this whole day right here that would look like, 'okay, well, we have a double top now, it's at a 50 level in the Fib, it's going to go down and trade down below here,' or 'I'll do an ABCD type move, and I'll be looking for 70s on the Australian dollar.' That's retail thinking. We were not thinking that at all. We're mapping that candle out as a reason to be a buyer.

So the things you're learning are completely diametrically opposed to those things that you learn in the

retail world. And it's like that because we have to capitalize on those ideas because those things permeate large fund trading. Where the buy stops, where the sell stops, it's the same way. Human nature is going to repeat itself. Every large fund trader starts as a low-end trader just like you are right now, just like I started. Grassroots, we all start from the same place, the beginning. No one becomes a large fund trader managing billions and millions of dollars because you just felt like you want to do it today. Try it. Try today. If you're successful today, try to get a large fund trader's position by the end of the month. You can do that, I'll send you one million dollars through PayPal. You have to do some things, you've got to prove you know you can trade, okay? And you have to go through a lot of 'rick morrow,' if you will, if I can quote my grandmother, to get to that that position. You have to prove yourself, it doesn't happen by accident.

So if they are doing the very things they did as a regular trader, but they still have to do things with guidelines, okay, then it's common sense that their stops are going to be right where everyone else is going to be placing their stops, but they have a lot more money at risk. They have exposure that you don't have. You're trading microlots and minilots and all these other things, and I'm not trying to disparage you or talk down to you because I started the same way, I started with small stuff. But they don't see you, you're not even a blip on the radar screen. But they do see these large pending orders above old highs and below lows in the last 60 days, in the last 40 days, in the last 20 days. And once you find a time marker where you can delineate when there's a shift that has taken place, or when you cast forward 60 days at that moment, you know, in the future 60 days from that last market structure shift quarterly, you know that's a delineation in the future so you can already anticipate a significant